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Case Number: 25STCV04788 Hearing Date: July 7, 2026 Dept: 224

Bungay v. Blue Jay Transit CFM, LLC

TENTATIVE RULING

Defendant has not met its burden of proving, by a preponderance of the evidence, the existence of a valid arbitration agreement authenticated as the act of Plaintiff.

The motion is DENIED.

Introduction

On February 19, 2025, Plaintiff filed the Complaint in this action.

On July 3, 2025, Defendant Blue Jay Transit CFM, LLC filed the Motion to Compel Arbitration.

On June 23, 2026, Plaintiff filed an opposition.

On June 29, 2026, Defendant filed a reply.

Evidentiary Objections

Plaintiff submits objections to the Declaration of James Havel in support of Defendant's Motion to Compel Arbitration.

Defendant submits objections to the Declaration of Elaine Bungay in support of Plaintiff's Opposition to Defendant's Motion to Compel Arbitration.

Plaintiff's evidentiary objections 1-5 are OVERRULED.

Defendant's evidentiary objections 1-7 are OVERRULED.

Motion to Compel Arbitration

Defendant moves the Court for an order: (i) compelling Plaintiff to submit the claims set forth in her Complaint to binding arbitration in lieu of court proceedings; and (ii) staying the instant lawsuit pending completion of such arbitration.

Legal Standard

In a motion to compel arbitration, the moving party must prove by a preponderance of evidence the existence of the arbitration agreement and that the dispute is covered by the agreement. The burden then shifts to the resisting party to prove by a preponderance of evidence a ground for denial (e.g., fraud, unconscionability, etc.). (Rosenthal v. Great Western Fin. Securities Corp. (1996) 14 Cal.4th 394, 413-414; Hotels Nevada v. L.A. Pacific Center, Inc. (2006) 144 Cal.App.4th 754, 758.)

Generally, on a petition to compel arbitration, the court must grant the petition unless it finds either (1) no written agreement to arbitrate exists; (2) the right to compel arbitration has been waived; (3) grounds exist for revocation of the agreement; or (4) litigation is pending that may render the arbitration unnecessary or create conflicting rulings on common issues. (Code Civ. Proc., § 1281.2; Condee v. Longwood Management Corp. (2001) 88 Cal.App.4th 215, 218-219.)

“California has a strong public policy in favor of arbitration and any doubts regarding the arbitrability of a dispute are resolved in favor of arbitration.” (Coast

Plaza Doctors Hospital v. Blue Cross of California (2000) 83 Cal.App.4th 677, 686.) “This strong policy has resulted in the general rule that arbitration should be upheld unless it can be said with assurance that an arbitration clause is not susceptible to an interpretation covering the asserted dispute.” (Ibid. [internal quotations omitted].) This is in accord with the liberal federal policy favoring arbitration agreements under the Federal Arbitration Act (“FAA”), which governs all agreements to arbitrate in contracts “involving interstate commerce.” (9 U.S.C. § 2, et seq.; Higgins v. Superior Court (2006) 140 Cal.App.4th 1238, 1247.)

The Existence of an Agreement

A party to an arbitration agreement may seek a court order compelling the parties to arbitrate a dispute covered by the agreement. (CCP § 1281.2) The party seeking arbitration has the initial “burden of proving the existence of a valid arbitration agreement by a preponderance of the evidence, while a party opposing the petition bears the burden of proving by a preponderance of the evidence any fact necessary to its defense.” (Ruiz v. Moss Bros. Auto Group, Inc. (2014) 232 Cal.4th 836, 842.) A moving party meets its initial burden by showing the agreement at issue exists, and need only establish its validity on challenge by opponent. (HM DG, Inc. v. Amini (2013) 219 Cal.App.4th 1100, 1114; Espejo v. Southern Calif. Permanente Med. Group (2016) 246 Cal.App.4th 1047, 1060.)

Defendant submits the Mutual Agreement to Arbitrate as Exhibit A to the Declaration of James E. Havel. (Havel Decl., Exh. A.) An electronic signature, by Plaintiff, is recorded in the document. Thus, Defendant has met its initial burden of showing the existence of a document.

Then, if the plaintiff challenges the authenticity of the signature, the burden shifts to the plaintiff to produce evidence sufficient to create a factual dispute regarding the signature's authenticity. A plaintiff's declaration stating that they do not recall signing the agreement can be sufficient to meet this burden, as it challenges the authenticity of the signature. In Ruiz v. Moss Bros. Auto Group, Inc., the plaintiff declared he did not recall signing the arbitration agreement and stated he would not have signed it had it been presented to him. The court held that this was enough to shift the burden back to the employer to prove the authenticity of the electronic signature (Ruiz v. Moss Bros. Auto Group, Inc., 232 Cal.App.4th 836, 846 (2014)).

"An electronic record or electronic signature is attributable to a person if it was the act of the person. The act of the person may be shown in any manner, including a showing of the efficacy of any security procedure applied to determine the person to which the electronic record or electronic signature was attributable." (Civ. Code, § 1633.9, subd. (a).) "The effect of an electronic record or electronic signature attributed to a person under subdivision (a) is determined from the context and surrounding circumstances at the time of its creation, execution, or adoption, including the parties' agreement, if any, and otherwise as provided by law." (Id., subd. (b).)

Under the California Uniform Electronic Transactions Act (UETA), an electronic signature has the same legal effect as a handwritten signature. (Civ. Code, §1633.7, subd. (a) ["[a]...signature may not be denied legal effect or enforceability solely because it is in electronic form"].) The UETA permits enforcement of electronic signatures when the evidence shows that a signing party "agreed to conduct the transaction by electronic means." (Civ. Code, § 1633.5, subd. (b).)

Plaintiff argues that Defendant fails to meet its burden to authenticate Plaintiff's signature, and to present evidence that the signature was "the act" of Plaintiff. In support of her argument, Plaintiff submits her declaration that she does "not recall ever being presented with, reviewing, or signing an arbitration agreement" during her employment, and that she "rebut[s] that [her] signature is affixed to any purported arbitration agreement." (Bungay Decl., ¶ 6.) Thus, Plaintiff has met her burden of challenging the authenticity of the signature.

In the face of a Plaintiff's disputing that he actually signed a digitally signed arbitration agreement, Ruiz provides that the defendant has "the burden of proving by a preponderance of the evidence that the electronic signature was authentic." Namely, it is defendant's burden to show that the electronic signature "was 'the act'" of the plaintiff. (See Ruiz v. Moss Bros. Auto Group, Inc. (2014) 232 Cal.App.4th 836, 846.) The authorities that provide the goalposts for this issue are Ruiz, supra, 232 Cal.App.4th 836 and Espejo v. Southern California Permanente Medical Group (2016) 246 Cal.App.4th 1047. In Ruiz, the declaration seeking to authenticate the plaintiff's electronic signature on an arbitration agreement was deemed insufficient where the declarant "summarily asserted" plaintiff electronically signed the agreement and "did not explain how she arrived at that conclusion or inferred [the plaintiff] was the person who electronically signed the agreement" or that the electronic signature "was 'the act'" of the plaintiff. (Ruiz, supra, 232 Cal.App.4th at pp. 844-845.) Thus, the court found the arbitration agreement at issue was unenforceable. (Id. at p. 846.)

By contrast, in Espejo the "declaration offered the critical factual connection that the declarations in Ruiz lacked," by detailing "security precautions regarding transmission and use of an applicant's unique username and password, as well as the steps an applicant [or employee] would have to take to place his or her name on the signature line." (Espejo, supra, 246 Cal.App.4th at p. 1062.)

Here, unlike in Espejo, Defendant's evidence more closely resembles the deficient showing in Ruiz. The sole declaration addressing the formation and execution of the Arbitration Agreement is that of James E. Havel, Defendant's Legal Director. Mr. Havel avers only that the personnel file maintained by Blue Jay in the ordinary course of business contains "a fully executed version of the Mutual Agreement to Arbitrate," and that a "true and correct copy of the Arbitration Agreement signed by Elaine Bungay is attached hereto as Exhibit A." (Havel Decl., ¶ 3.) This is precisely the sort of summary assertion that Ruiz found insufficient. Mr. Havel does not explain how he arrived at the conclusion that Plaintiff was the person who electronically signed the agreement, nor does he offer any evidence that the electronic signature was "the act" of Plaintiff.

The declaration is devoid of the "critical factual connection" required by Espejo. Mr. Havel does not describe any security procedures used to transmit the agreement to Plaintiff, to verify her identity, or to ensure that only Plaintiff could have affixed the electronic signature. He does not describe any unique username, password, or login credentials required to access or sign the document, nor does he detail the steps a signatory would have had to take to place her name on the signature line. Indeed, the certification page attached to Exhibit A reflects that the document was requested by a third party, Sara Dick, whose knowledge is not accounted for; Defendant submits no declaration from Ms. Dick, and Mr. Havel does not mention her. Mr. Havel likewise assumed his role in May 2024 - more than five years after the agreement was purportedly signed in November 2018 - and offers no basis for personal knowledge of the 2018 execution process. On this record, Defendant has not carried its burden of demonstrating, by a preponderance of the evidence, that the electronic signature was "the act" of Plaintiff.

To the extent Defendant relies on the Employment Change Letter (Exhibit B) as corroboration that Plaintiff entered into the Arbitration Agreement, that document suffers from the same authentication deficiency. This document is also supported only by Mr. Havel's declaration. Plaintiff disputes the signature, and the certification page appended to Exhibit B reflects a 2018 signing event rather than the 2024 execution the letter bears. It therefore cannot supply the showing the Ruiz/Espejo requires.

Because Plaintiff has challenged the authenticity of her signature and Defendant has failed to authenticate it, Defendant has not established the existence of a valid agreement to arbitrate. The motion is therefore subject to denial on this ground alone. (Ruiz, *supra*, 232 Cal.App.4th at p. 846.)

Having concluded that Defendant failed to establish the existence of an enforceable agreement to arbitrate, the Court need not reach Plaintiff's remaining arguments, including whether Defendant, as a nonsignatory, may enforce the Agreement, and whether the Agreement is procedurally or substantively unconscionable.

Conclusion

Defendant has not met its burden of proving, by a preponderance of the evidence, the existence of a valid arbitration agreement authenticated as the act of Plaintiff.

The motion is DENIED.

Moving party to give notice.

Parties who intend to submit on this tentative must send an email to the Court at indicating intention to submit on the tentative, and copying all parties in the email communication. Please be advised that if you submit on the tentative and elect not to appear at the hearing, the opposing party may nevertheless appear at the hearing and argue the matter. Unless you receive a submission from all other parties in the matter, you should assume that others might appear at the hearing to argue. If the Court does not receive emails from the parties indicating submission on this tentative ruling and there are no appearances at the hearing, the Court will adopt the tentative as the final order, or take the matter off calendar at its discretion.